

DOUGLAS DYNAMICS INC PLOW

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by

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			2026	2027
Price:	42.50	EPS	0	0
Shares Out. (in M):	23	P/E	0	0
Market Cap (in \$M):	983	P/FCF	0	0
Net Debt (in \$M):	211	EBIT	0	0
TEV (in \$M):	1,194	TEV/EBIT	0	0

Description

Douglas Dynamics is North America's largest maker of snowplows and ice-control equipment for professional snow removal, with 50-60% market share in the US and 60-70% share in Canada. It sells through the industry's largest dealer network and has an installed base of more than 500,000 plows.

Douglas is a good business that has been under-earning. Snowfall in six consecutive winters through 2024/25 came in below the long-run average, with the last two particularly bad. The stock has become increasingly ignored, but a more normal 2025/26 winter is acting as a catalyst for earnings to rebound to normal, and management has raised 2026 guidance at both Q1 and Q2 results. Investors appear to be anchoring to the six bad years as normal earnings and discounting this year as a cyclical peak, but our work suggests volumes this year are still around 15% below normal levels.

The stock trades on 16x trailing EBIT, but we think only 11x on an FY1 basis. Since the 2010 IPO the market has paid 15-16x on average. Assuming normal winter earnings and cash generation, the stock is trading on 10x our EV/NOPAT estimate in three years time and we see around 80% upside.

Unit Economics

PLOW reports in two segments: Attachments and Solutions. The two segments generate roughly equal revenues, but the Attachments segment accounts for about 70% of the company's underlying earnings power and varies primarily with snowfall.

It is the Attachments business that makes snowplows and other de-icing equipment across three brands: Western, Fisher, and SnowEx. A typical plow sells for \$8-11k to a contractor. These contracts may be individuals with a class 2 or 3 truck like a Ford F-250 who plows residential driveways, or larger contractors with a fleet and Class 2-7 trucks who may service roads, car parks, and other public or commercial areas.

Douglas sells plows to thousands of dealers, who then sell to contractors. Dealers typically order in Q2 and Q3 so that they are stocked up ahead of winter in Q4.

Work Truck Solutions accounts for around 30% of underlying earnings power and up-fits trucks, installing specialized bodies and equipment on Class 3-8 chassis. The Henderson brand builds custom snow and ice trucks for municipal fleets, and the Dejana brand fits out commercial vans. Sales are to government, fleets, and independent dealers.

Nearly all revenue is earned in the US and Canada.

Market Share

Player / segment	Share	Notes
Douglas (Fisher, Western, SnowEx)	50-60% US, 60-70% Canada	Stable market share
Toro (Boss)	34% US, 25% Canada	Number two; rational on price
Meyer, Sno-Way, Hiniker, Buyers (SnowDogg)	15% combined	Fragmented; win on price

Investment Thesis**Thesis #1: Douglas is a better business than investors realize.**

Douglas has about 50% market share in the US snowplow market, and 65% share in Canada. This dominance comes mostly from its scale: We estimate there are 1,000 Western and Fisher dealers. Boss, the number two player, has 750 dealers and the two together have roughly 85% market share. The dealer network is critical because dealers act as gatekeepers to the industry as snow must be cleared within 24 hours during a storm, and parts break. A typical contractor may charge \$150 per driveway and clear eight to ten per storm, so a part that sits broken for one storm costs him \$1,200 or more of lost work, against the \$8,000-11,000 the plow cost new.

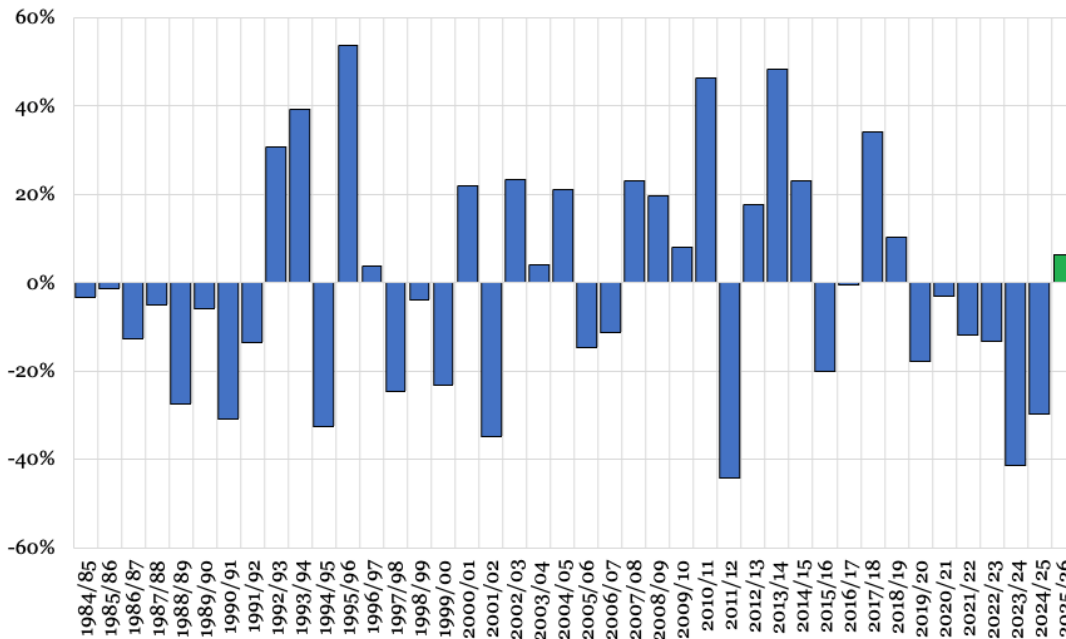
Douglas' scale is key because its dealers are likely to be closest to the contractor, which makes for a quicker turnaround and is the main reason contractors go with a certain brand. As an example, one dealer told us: "people don't want to hear a week because they lost their snow and client in a week." Proximity and parts stock beat price.

This scale has also resulted in Douglas having the industry's leading brands, and so dealers stock its products, often exclusively. It would be incredibly difficult for a new brand to break into enough dealers to be meaningful, and so the industry is largely a duopoly with 2-4% annual price increases and no price wars.

Douglas can also react quickly to a snowstorm because it is vertically integrated. The company buys raw steel and does its own cutting, welding, painting and assembly, and it can restock dealers within days as a storm is forecast.

Thesis #2: Douglas has been under-earning since 2019/20, and that is reversing.

Snowfall vs Average Across 1985-2026



Source: Data SC ACIS on from 54 weather stations, analysis by author

We track snowfall across 54 weather stations in Douglas's key cities, weighted by its dealer count in each state, back to 1984. While there is no structural trend, snowfall is volatile from year-to-year and from 2019/20 through 2024/25, every season came in below the historic average. The 2023/24 and 2024/25 seasons were especially bad, at 41% and 30% below the historic average.

The drought has masked the company's earnings power. Attachments earned adjusted EBITDA margins of 26.8% in 2017, the last year with snowfall exactly in line with the historic average, against 19.0% in 2025. Management have repeated talked about returning to 25%+ EBITDA margins if Attachment volumes return to normal. Douglas reported \$74mm of group EBIT in 2025, but would have earned around \$100mm had Attachments margins been in line with 2017 and the other years before the drought.

The drought also deferred replacement demand. A plow's replacement can be delayed, but eventually it must be replaced. Using Douglas's historic sales and assuming equipment lasts ten years, we estimate about \$200mm of replacement demand has been deferred, equivalent to about 65% of a year of Attachment sales, on top of normal sales. Our numbers will not be precisely accurate, but every method we tried to estimate the replacement cycle pointed to the same conclusion: the market is in a record deficit.

Because Douglas sells to dealers rather than end customers, recoveries come with a bullwhip effect. Dealers work down inventories in bad years and restock in good ones, so Douglas's sales undershoot the underlying market in bad years and overshoot in good ones. That reversal is now underway: our surveys of dealers across the major brands found many had their strongest season in years and are restocking, especially in the Northeast, where Douglas's share is highest.

Thesis #3: Douglas raised full-year guidance at Q1 then again at Q2, but the stock has not reacted.

The strong winter is converting into orders. On May 4 the company raised full-year guidance after just one quarter, unusually early for a business that only gains clarity as pre-season orders arrive in Q2 and Q3. On August 3 it raised guidance again. At the mid-point, the company is now guiding to full year revenues of \$785mm (+20% y/y), adj EBITDA of \$128mm (+31% y/y), and adj EPS of \$3.15 (about \$2.75 after SBC, +40% y/y).

Despite this, the stock is down about 10% from before the two guidance raises.

We have yet to find a good reason for why the stock has reacted like this, and the price action on the day of results has been particularly bizarre: The stock was up 16% after Q1, then gave it all back the next day; even more confusingly the stock was down 12% after Q2, then regained it all the next day.

In addition, we believe most investors view this year as peak earnings, given the comparison to the last few, and are looking through it. Our variant view is that instead volumes even this year remain significantly below normal, despite the snowfall, because dealers and contractors are catching up after six poor winters. A ten year old plow that would normally need replacing may only have had the equivalent of seven or eight years of use. This points to a multi-year recovery rather than a one-year snapback, meaning Douglas is still under-earning rather than at peak earnings. We expect an exceptionally strong Q3 result, then another catalyst in Q4 as Douglas guides to strong earnings next year as well.

The market is pricing the opposite. The shares were sold on the Q2 headline miss and sit 23% below their April 2026 high, at 13x EV/FCF this year and 13.5x next, against a 20x average since the 2010 IPO. Investors spent five years putting a trough multiple on trough earnings and now will not put an average multiple on earnings they believe are the peak. The company is saying results are excellent, and the volumes say the peak is still ahead.

Key Risks

The 2026-27 winter is forming under a super El Niño - In July 2026 forecasters flagged a super El Nino pattern, which raises the odds of a below-average 2026-27 winter. We do not think trying to forecast the weather is a productive use of time given how many variables go into determining snowfall and the locations of that snowfall. In our conversations with dozens of dealers, not one reported that El Nino had had an impact on contractor purchases. Our bear case prices three bad winters in a row at \$35 a share, 18% below today.

The Work Truck Solutions business may be overearning - Work Truck Solutions has won several large municipal contracts over the last few years that has resulted in

government revenues growing from \$46mm in 2021 to \$144mm in 2025. Backlog has increased from \$126mm to \$350mm. Some of these contracts are unlikely to repeat but on the Q2 call management said backlog was still close to the record they had in 2022, volume is expected to be up low/mid single-digits in 2026, and the company is investing in various new facilities that will bring more capacity online.

Valuation

Douglas trades on 14.7x 2026 NOPAT at the mid-point of management guidance.

Because earnings are volatile and dependent on snowfall, we value Douglas on mid-cycle margins minus some room for conservatism. We assume a 22% EBITDA margin for Attachments, below the 25% management say is normal, and grow revenues at 5% p.a. That results in \$80mm of NOPAT today or \$100mm in three years.

The stock has averaged 14.5x EBIT or 18x NOPAT since Douglas went public in 2010. Applying the same 18x to \$100mm gets to \$1.8bn, and subtracting \$210mm in net debt and adding \$200mm in cash generation over the next three years results in \$1.8bn in equity value or about 80% upside.

18x may seem high given the unpredictability of earnings, but even applying 15x gives 50% upside. We expect most of this upside to be realized over the next 12 months as the company reports strong results through the remainder of this year and guides to a similar year next, which should act as a catalyst to allow investors to view current earnings as normal rather than peak-cycle levels.

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Catalyst

Strong results in H2 '26, and 2027 guidance.

Messages

No messages